

us: a large hospital bill, getting fired and not having an income, Chennai-like floods needing a full replacement of the basement furniture and gadgets. It is for such reasons that we create an emergency fund and buy insurances.

There are some events that we can look after through insurances, but there are some, like a job loss, that we need to prepare for. We all need an emergency fund. This is a fund that will only be used in case of a financial emergency. We clearly label it in our heads as an emergency fund and don't tap into it. No, you can't use it even for the down payment of the house. This is the piggy bank you break only when you need the money for an unplanned emergency.

A friend and her husband were in high-paying advertising jobs. High earners also spend well and they bought their condo in Gurugram on a bank loan. The wife's income went towards the EMI fully, and the husband's ran the house and went towards savings. The wife got pregnant and there were complications. She had to quit work to have the baby. She could go back to work in 9–12 months, but for the next year there was no EMI money.

There are some choices in life you wish you did not have. Baby or house is not a decision anybody can make. Of course she quit. They scraped together all their savings, borrowed from family and prepaid a part of the loan so that the rest of the EMI could be serviced by the husband's salary. They did have to cut back on lifestyle in a big way for a couple of years. The baby came, was wonderful, and my friend went back to work in two years. But it was a hairy time in their lives.

Having an emergency fund gives you a cushion for such an event. It allows you to think clearly and not take hasty decisions, like selling the house and moving to another place – something that the couple contemplated for a while. I have personally made use of my own emergency fund on at least two occasions. Let me just say that when the time comes, you will look back at your younger self and thank her with your older self wholeheartedly!

How much do you need?

A rough rule of thumb says keep aside six months' living costs. Include everything in it – rent, EMI, school fees, utilities, premiums, credit card